In this lesson, you will learn fundamental economic concepts that will help you identify and examine key measures of economic performance like gross domestic product, inflation and unemployment. You will also learn how to gauge market sentiment through the commitment of traders report & where to go to obtain economic news events.

The Commitment of Traders Report

Traders in Financial Futures

Macro sentiment gauges the markets psychology from behaviors & beliefs that influence the market. The Commodity Futures Trading Commission (CFTC) is an independent agency of the U.S. government that regulates futures & option markets to protect its market participants. The CFTC publishes the Commitments of Traders (COT) reports to help the public understand market dynamics.

Specifically, the COT reports are based on position data supplied by reporting firms (FCMs, clearing members, foreign brokers and exchanges) from Tuesday, reviewed on Wednesday morning and the CFTC corrects and verifies the data for release by Friday at 3:30PM EST. The COT reports provide a breakdown of each Tuesday's open interest for futures & options on the futures markets. We gauge market sentiment from weekly reports in the futures market that displays how traders/investors have positioned themselves across multiple asset classes, and whether those markets are doubling down on risk or is risk-averse. An increase and/or decrease of speculative positions is indicative of extremes that cause markets to trend & consolidate. These reports are highly effective when used in conjunction with technical analysis that identifies these price movements & highlights chart patterns for potential entries & exits. The Commitment of Traders report is a key report you must analyze before entering any trade/position. Sometimes, report releases are postponed due to holidays or unexpected disruptions in the work of the CFTC website. It is your duty to decide whether to use the data from such postponed reports for trading or to ignore them.

The report contains positions from five classes of traders:

- **Dealer / Intermediary - *Sell Side* - (Short-term market movements)** Large commercial banks (U.S. and non-U.S.)
- **Asset Manager / Institutional - *Buy Side* - (Long-term market movements)** pension funds, mutual funds, insurance companies, portfolio/investment managers
- **Leveraged Funds - *Buy Side* - (Speculative)** various types of money managers.
- **Other Reportable - *Buy Side* - (Hedgers)** Central banks, mortgage originators, credit unions or corporate treasuries.
- **Non Reportable - *Buy Side* -** Retail traders

1. **Dealer / Intermediary Category –** is a representation of the "sell side" in the market. They design and sell financial assets to clients which are the "buy side" in the market. They make up over 80% of the money traded in the FX markets. They profit extensively with the funds entrusted to them and generating returns in interest for their clients. The 10 leading commercial banks that lead the FX markets are JP Morgan, Goldman Sachs, Citi Bank, Deutsche Bank, Morgan Stanley, UBS, Barclays Bank, HSBC, BAML, and Bank of America.
2. **Asset Manager/ Institutional –** represents trading volume from institutional investors or private wealth managers. These traders manages the wealth and assets of his or her clients in both liquid and illiquid asset classes with the goal of growing the value of the assets via portfolio management.

3. **Leveraged Funds –** represents volume of positions by hedge funds, and speculative traders. The strategies involve arbitrage trading within and across various markets. These traders are involved with managing and conducting proprietary futures trading and trading on behalf of speculative clients.
4. **Other Reportable -** The traders in this category are using the markets to hedge against business risk, whether its related to their current economic situation (I.e. foreign exchange rates, equities or interest rates)
5. **Non Reportable -** The traders in this category are the retail traders.

How to use the Commitment of Traders Report

The most simple way would be to buy a currency pair whenever the number of Dealer / Intermediary long contracts rise and short contracts fall & sell a currency pair vice versa. For example:

- **Buy short-term market movements** when the NET number of **Dealer / Intermediary** long positions rises compared to the previous report and the NET number of short **Dealer / Intermediary** positions falls compared to the previous report.
- **Sell short-term market movements** when the NET number of **Dealer / Intermediary** long positions falls compared to the previous report and the NET number of short **Dealer / Intermediary** positions rises compared to the previous report.
- If both the number of the long positions and the number of the short positions rise or fall simultaneously, then no trading signal is generated. The current position remains open & often times the market will consolidate. Technically, the market ranges between its high and low.

Market Extremes

Here's how I create an index that measures market extremes. First, decide how long of a period you want to cover. The more values you input into the index, the less sentiment extreme signals you will receive, but the more reliable it will be. Having fewer input values will result in more signals, although it might lead to more false positives. Calculate the difference between the positions of large speculators/ Asset Manager-Institutional and commercial/Leveraged Funds traders for each week. The formula for calculating this difference is:

Difference = Net position of Large Speculators – Net position of Commercials

Tradingsters' disaggregated COT reports: https://www.tradingster.com/
CFTC: https://www.cftc.gov/MarketRep...